H&R Block (NYSE: HRB)

Hypothetical public-to-private acquisition | Investment memorandum | 22 October 2026

RECOMMENDATION PASS at the assumed 25% equity premium. The modeled 16.7% base-case five-year gross sponsor IRR is below the 20.0% illustrative hurdle.

Investment conclusion

H&R Block generates substantial cash from tax preparation with limited capex. FY2026 revenue grew 4.9% to $3.95bn, and EBITDA from continuing operations reached $1.057bn. I would pass at the modeled acquisition price: financing costs, the 25% premium, and uncertain client retention and pricing leave base-case returns below the hurdle.

Underwriting metric	Base-case assumption / result	Why it matters
Unaffected share price / proposed offer	$50.08 / $62.60	25.0% equity premium
Purchase equity value / enterprise value	$7.72bn / $8.25bn	7.81x FY2026 EBITDA
Opening first-lien debt / notes	$3.17bn / $1.59bn	4.5x opening EBITDA total
Sponsor equity invested	$4.21bn	42.4% of total uses
FY2031 EBITDA / exit multiple	$1.36bn / 7.5x	Underwriting inputs
FY2031 sponsor proceeds	$9.11bn	After $2.21bn debt, plus $1.10bn cash
Gross sponsor returns	2.16x MOIC / 16.7% IRR	Below 20% hurdle

Transaction structure

I model acquisition after FY2026, followed by five fiscal years, FY2027-FY2031. The sponsor pays a 25% premium to the October 22, 2026 close, refinances $1.49bn of financial debt, and funds $500mm of opening operating cash. Financing consists of a 3.0x EBITDA term loan at 8.5% cash interest and 1.5x EBITDA senior notes at 9.5%, plus assumed issuance and advisory fees. The $959mm historical cash balance is a funding source, subject to cash-accessibility and liquidity diligence.

This is an unfunded hypothetical transaction. Purchase terms, forecasts, and exit multiples are assumptions. Sponsor returns are gross of fund fees and carried interest.

1 / Business and cash generation

- **Tax preparation demand.** Annual filing requirements support demand for expert help with complex returns. HRB prepared 11.3mm assisted U.S. returns, and clients filed 3.6mm paid DIY online returns in FY2026.
- **Cash conversion.** FY2026 operating cash flow of $838.7mm less $82.6mm capex produced about $756.1mm of reported FCF. These consolidated annual figures do not establish normalized cash flow after buyout financing.
- **Volume and pricing.** U.S. assisted revenue rose 6.1% in FY2026 while returns were roughly flat. DIY competition, automation, price sensitivity, and tax policy could weaken volumes or margins.

2 / Five-year operating forecast

Operating driver	FY2026 actual	FY2027 base	FY2031 base
Revenue	$3,945mm	$4,135mm	$4,837mm
EBITDA	$1,057mm	$1,125mm	$1,364mm
EBITDA margin	26.8%	27.2%	28.2%
Cash interest	~$81mm	$420mm	~$258mm*
Closing gross debt	~$1,491mm	$4,364mm	$2,213mm
Closing modeled cash	$959mm	$590mm	$1,096mm

*FY2031 interest uses beginning-of-year first-lien and senior-note balances; the workbook contains the full schedule.

FY2027 base revenue and EBITDA use guidance midpoints of $4.11-$4.16bn revenue and $1.11-$1.14bn adjusted EBITDA. Revenue then grows 4% annually, with EBITDA margin reaching 28.2% in FY2031. I assume capex at 2.1% of sales, incremental working capital at 1.5% of the annual revenue increase, and 23% normalized cash taxes. Historical continuing-operations EBITDA and guided adjusted EBITDA use different definitions.

3 / Operating improvements

- **Retention and cross-sell.** Improve assisted repeat rates and advisory sales. Check customer cohorts, attach rates, and revenue per return before assigning incremental value.
- **Digital profitability.** Improve paid-DIY conversion, retention, automated workflows, and Wave subscriptions while protecting contribution margins.
- **Spending and debt repayment.** Reduce unproductive store and overhead costs while protecting service, cybersecurity, and seasonal capacity. Direct available cash toward debt repayment.

4 / Risks

- **Seasonal liquidity.** Most collections occur in February-April. June 30 cash does not establish monthly revolver requirements or minimum liquidity.
- **Competition and regulation.** Free filing, DIY competition, automation, pricing rules, and willingness to pay could reduce volumes or realized margins.
- **Financing and exit.** The 7.5x exit multiple and cash sweeps may disappoint. Covenants, available cash, refinancing costs, and interest deductibility could change returns.

5 / Returns and acquisition price

Scenario	FY2031 EBITDA	Exit EV / EBITDA	Gross MOIC	5-year gross IRR
Downside	$1,068mm	6.0x	1.09x	1.8%
Base	$1,364mm	7.5x	2.16x	16.7%
Upside	$1,591mm	9.0x	3.25x	26.6%

Base FY2031 exit enterprise value is $10.23bn. After deducting $2.21bn of debt and adding $1.10bn of cash, sponsor proceeds are $9.11bn. Against $4.21bn invested, returns are 2.16x MOIC and 16.7% annualized gross IRR. Holding base operations and financing fixed, the 20% gross IRR hurdle implies a maximum premium of about 16.23% (16.234532% exact), or $58.21 per share. The sensitivity table varies the premium and exit multiple.

6 / Further diligence

- **Customers.** Assisted/DIY retention, realized fees per return, franchise age mix, and channel profitability.
- **Tax-season cash.** 13-week and 12-month liquidity forecasts, access to cash abroad, peak revolver drawings, borrowing base, and covenants.
- **Debt and taxes.** Lender pricing, leverage capacity, interest deductibility, change-of-control obligations, and contingent claims.
- **Competition and regulation.** TurboTax and smaller digital firms, IRS free-filing policy, pricing regulation, and cybersecurity exposure.
- **Operating plan.** Store productivity, Wave economics, restructuring costs, and customer effects.
- **Exit.** Public and private comparables, potential buyers, minority-investor appetite, recapitalization, and IPO options.

Recommendation

PASS at the modeled 25% premium. I would reconsider at a lower effective enterprise value, with verified incremental EBITDA or cash flow and sufficient seasonal liquidity and borrowing capacity. The base return misses the hurdle, and downside equity returns offer little compensation for leverage risk.

Methodology and sources

Dollar figures are USD millions unless stated. Historical data come from the FY2026 10-K filed August 14, 2026; FY2027 guidance is from the August 11, 2026 results release. The market reference is the October 22, 2026 close of $50.08 and StockAnalysis share count of 123.27mm. Forecasts, financing, cash availability, and exit multiples are assumptions. The model omits an intrayear revolver, some purchase accounting, fund fees/carry, lease debt capitalization, and detailed tax and working-capital timing.

FY2026 Form 10-K - https://www.sec.gov/Archives/edgar/data/12659/000001265926000026/hrb-20260630.htm

FY2026 results and FY2027 guidance - https://www.sec.gov/Archives/edgar/data/12659/000001265926000019/q4fy26earningsrelease.htm

Reference share price - https://stockanalysis.com/stocks/hrb/history/

Share count - https://stockanalysis.com/stocks/hrb/statistics/